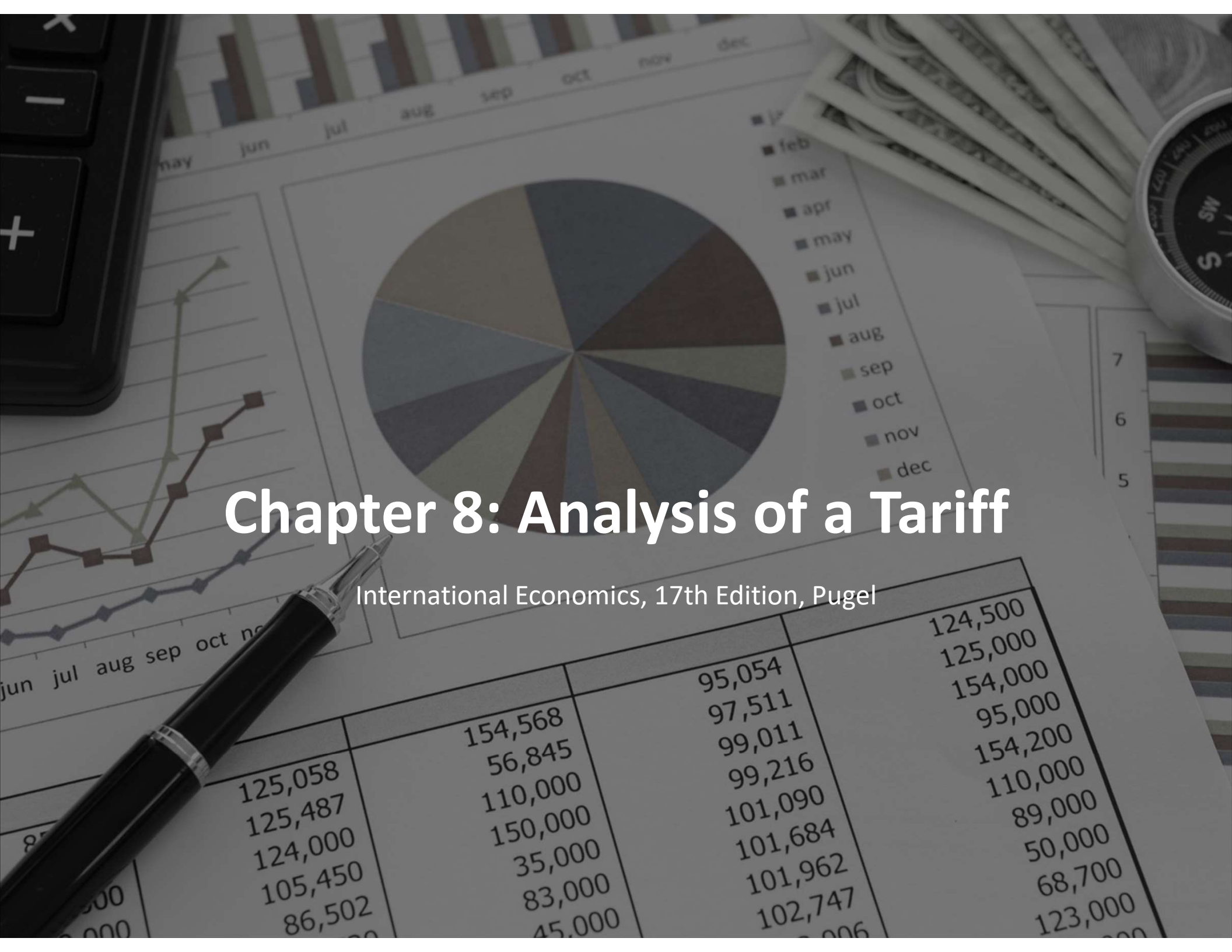


Chapter 8: Analysis of a Tariff

International Economics, 17th Edition, Pugel



US + China Trade War



Analysis of a Tariff

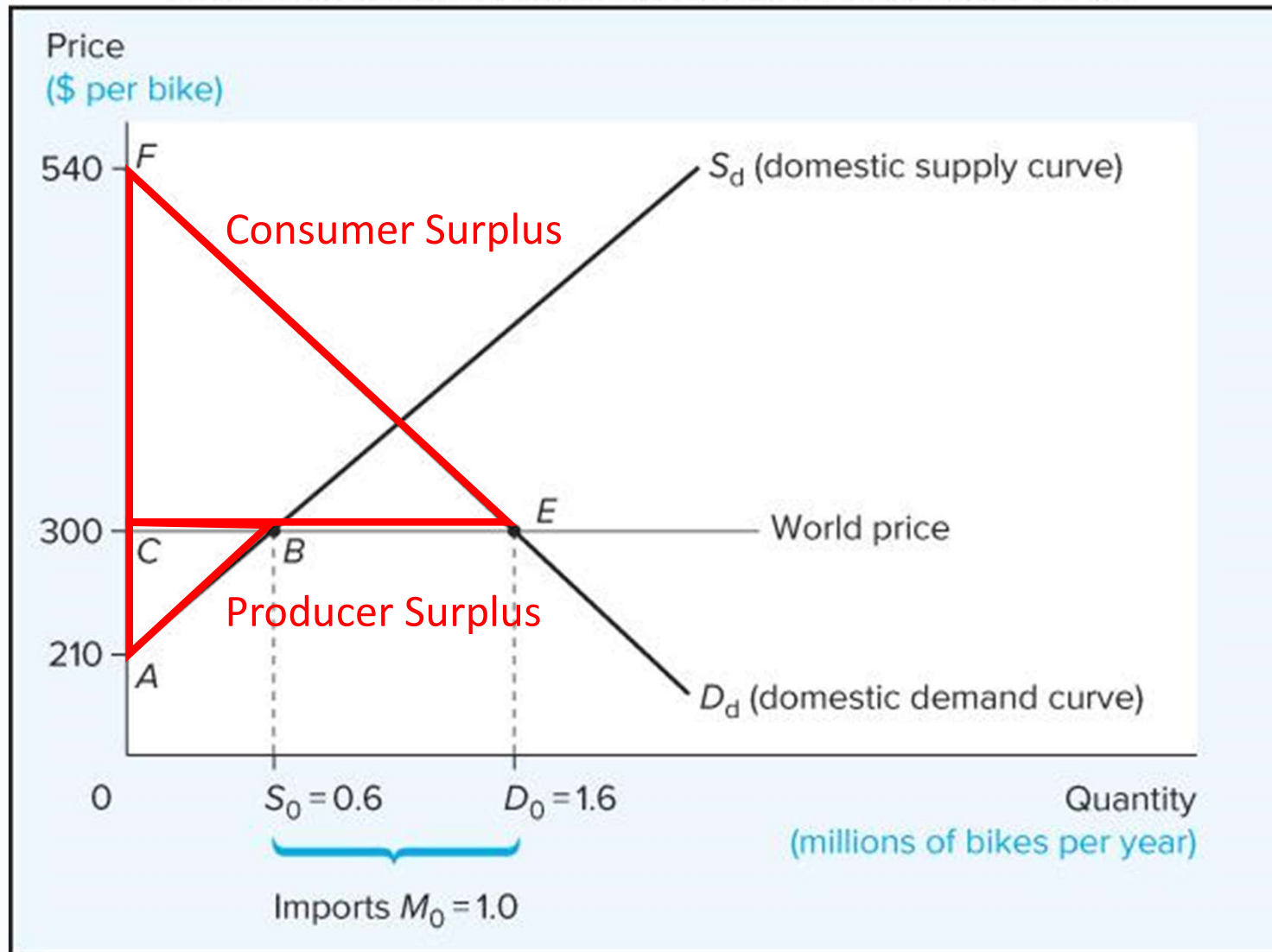
A ***tariff*** is a tax on importing a good or service into a country.

Types of tariffs:

- Specific tariff
- Ad valorem tariff
- Compound tariff

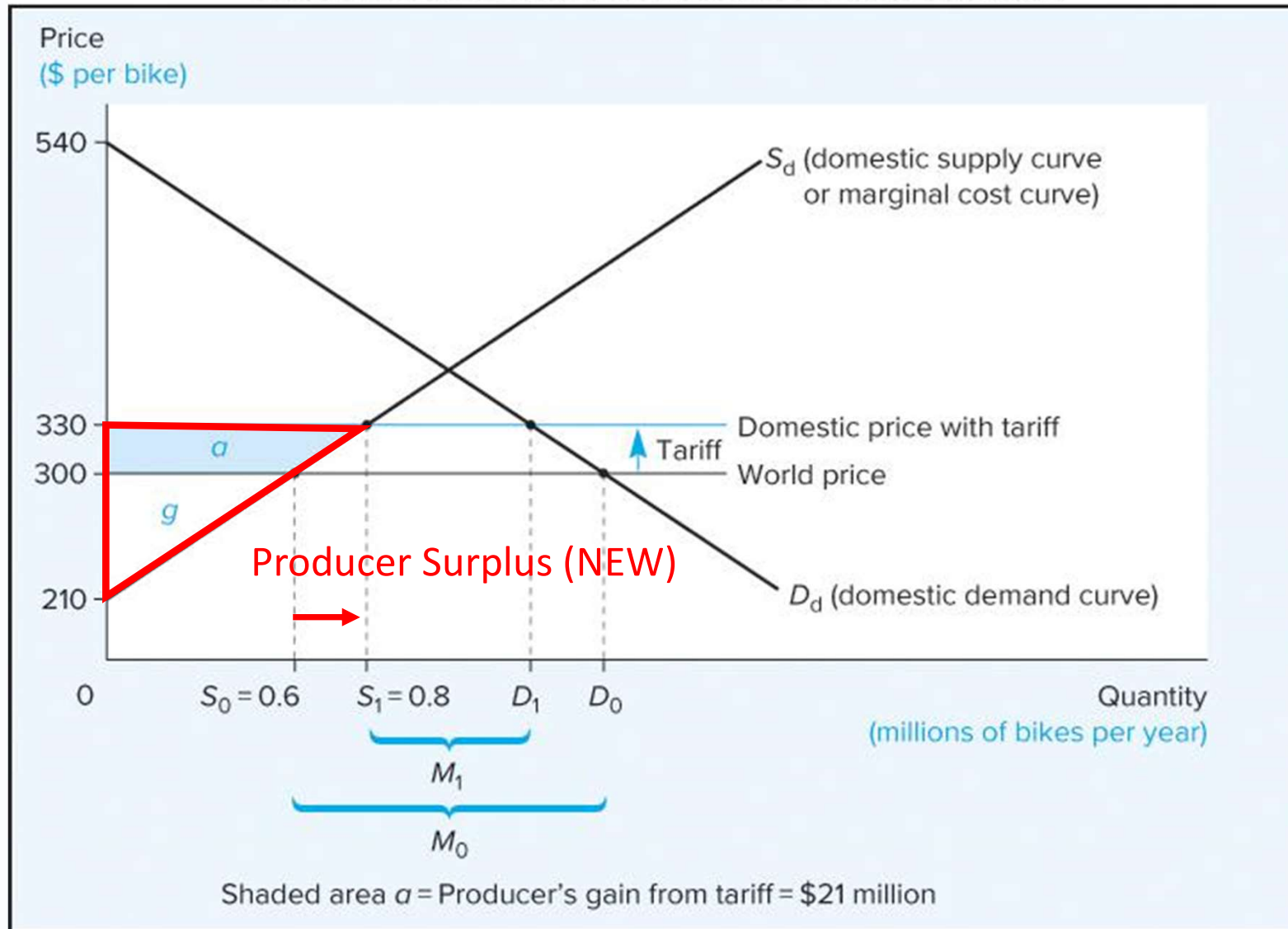
The Effect of a Tariff

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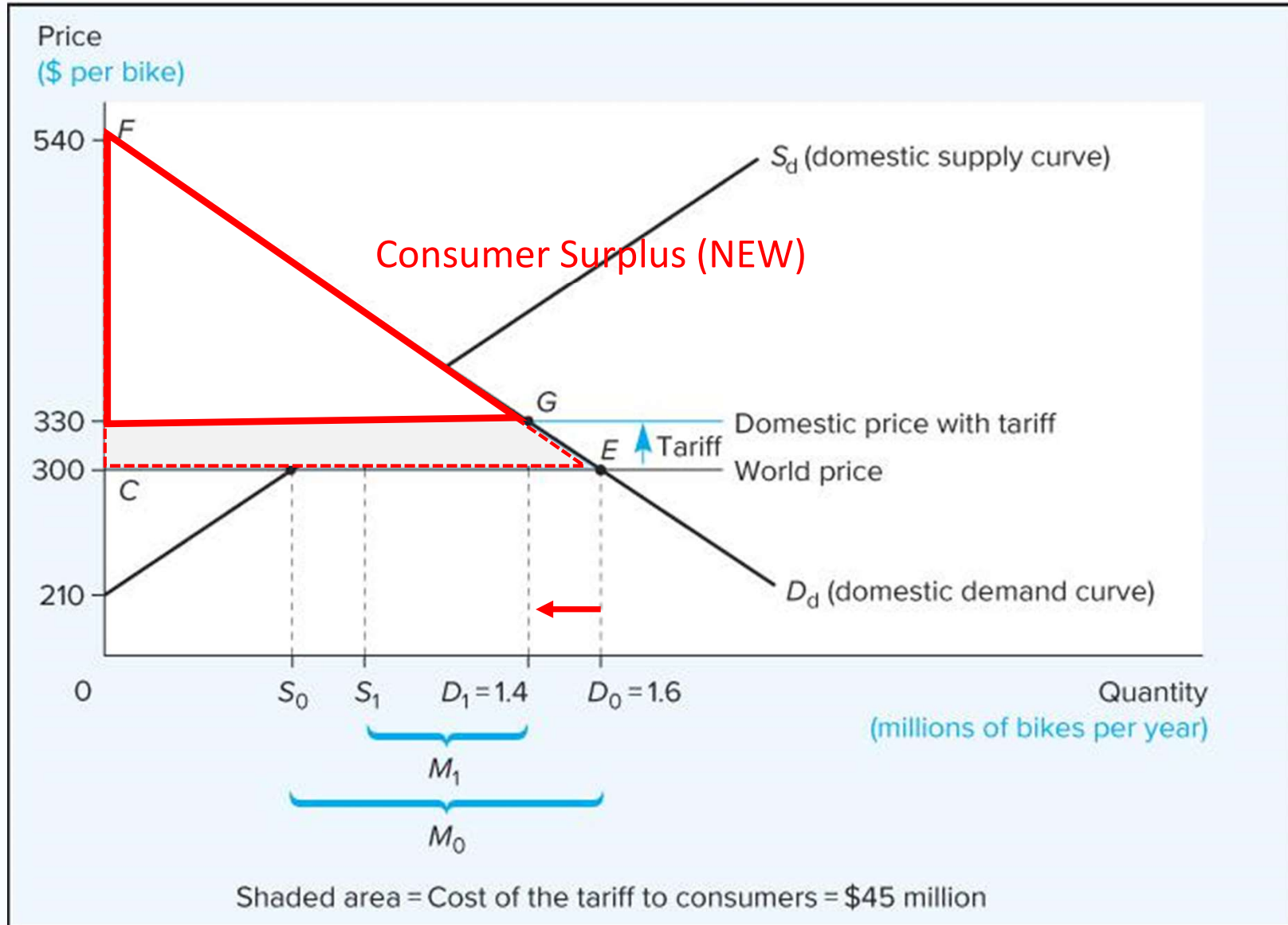
Effect of a Tariff on Domestic Producers

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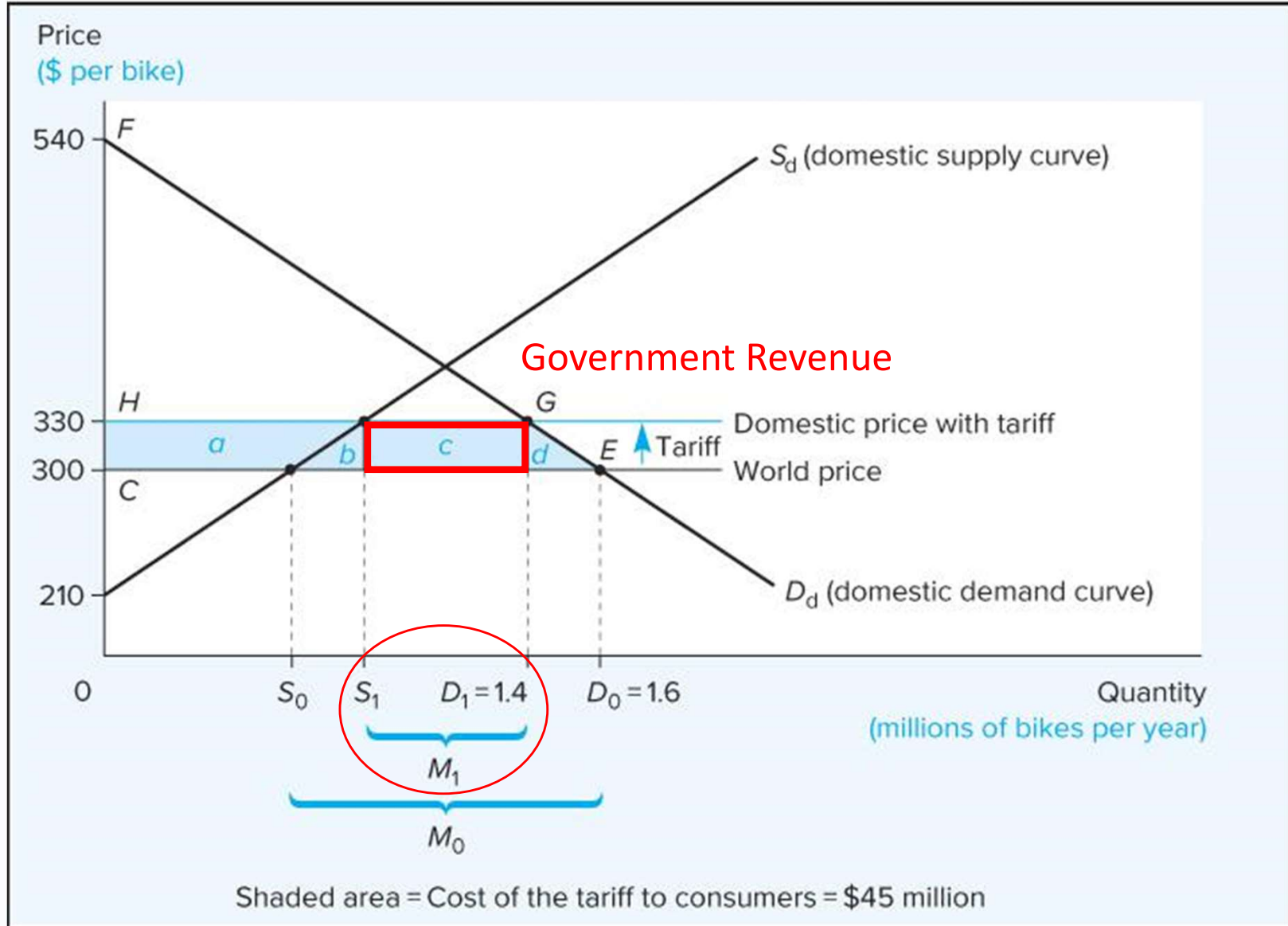
Effect of a Tariff on Domestic Consumers

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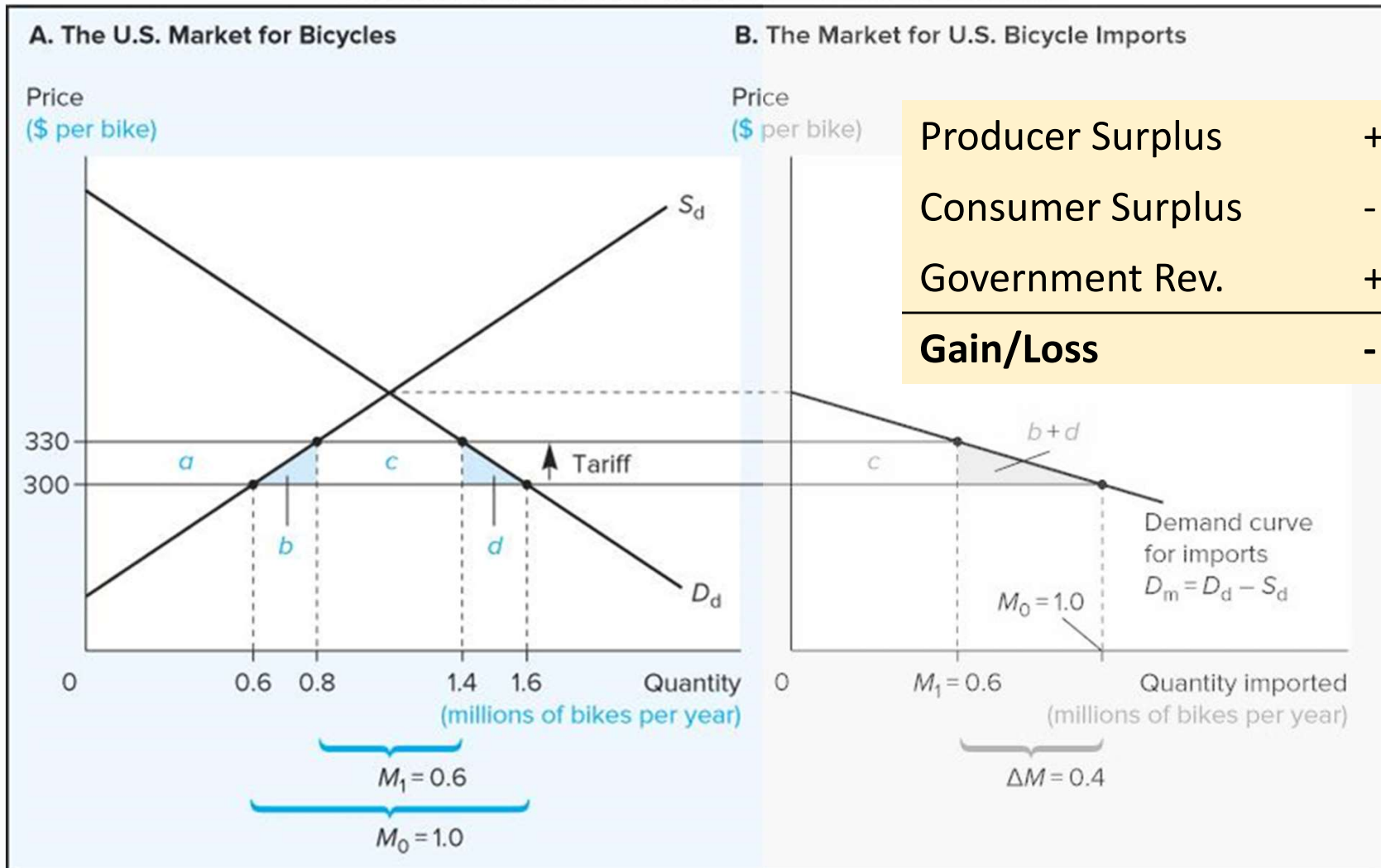
Effect of a Tariff on Government Revenue

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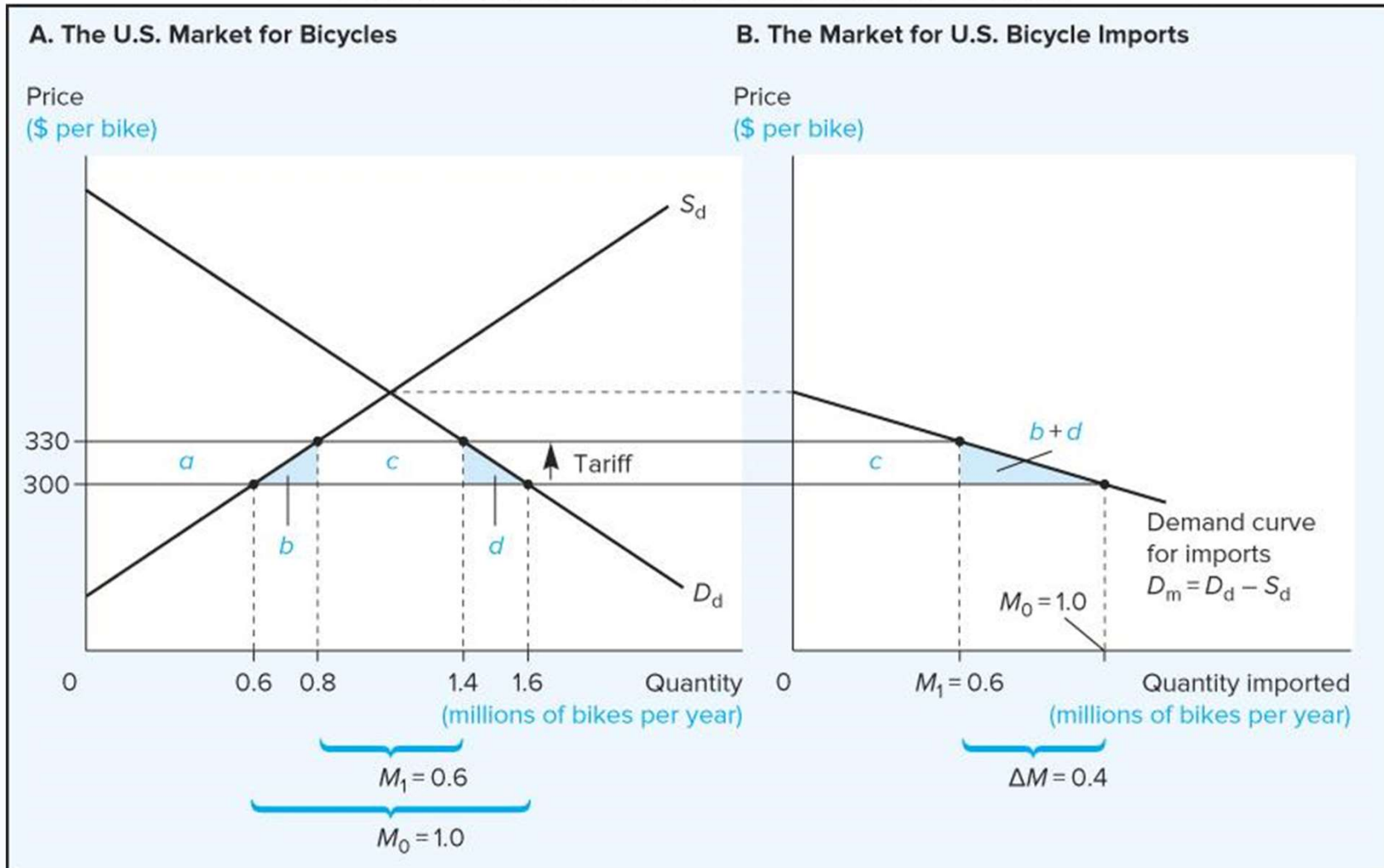
Small Importing Country: Net National Loss from a Tariff

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Small Importing Country: Net National Loss from a Tariff

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Large Country and the Terms of Trade

A nation that has a large enough share of the world market for one of its imports

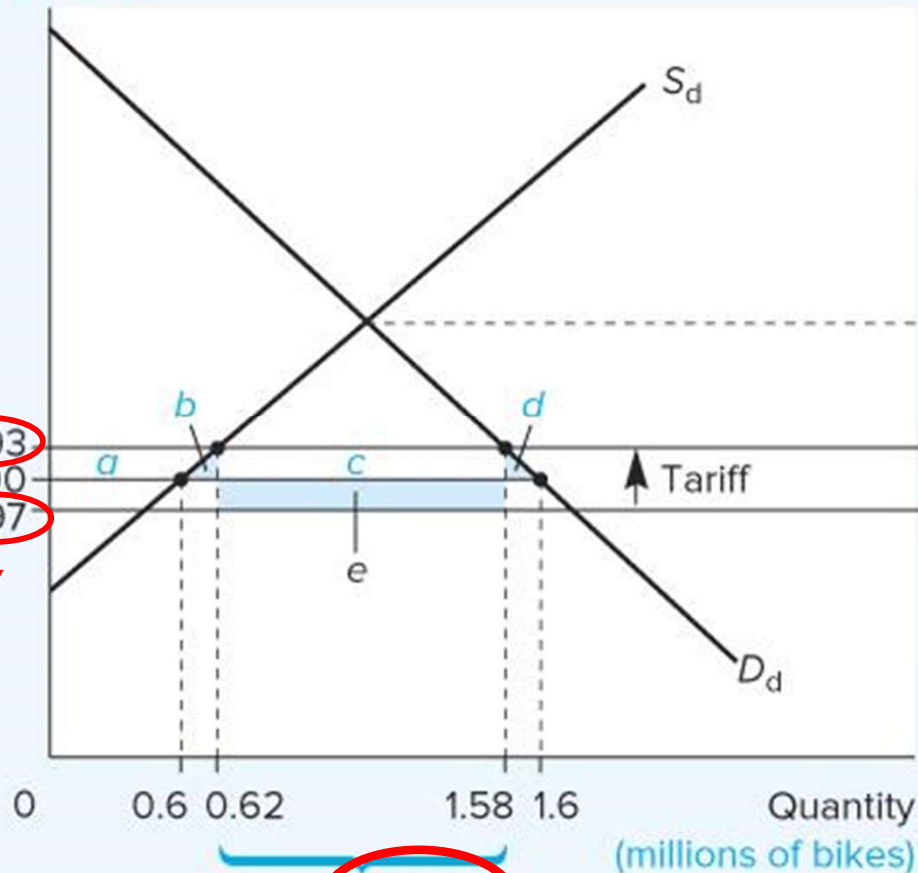
Changes in the country's import buying noticeably affect the world price of the product.

A Large Country Imposes a Small Tariff

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A. The National Market for Bicycles

Price
(\$ per bike)

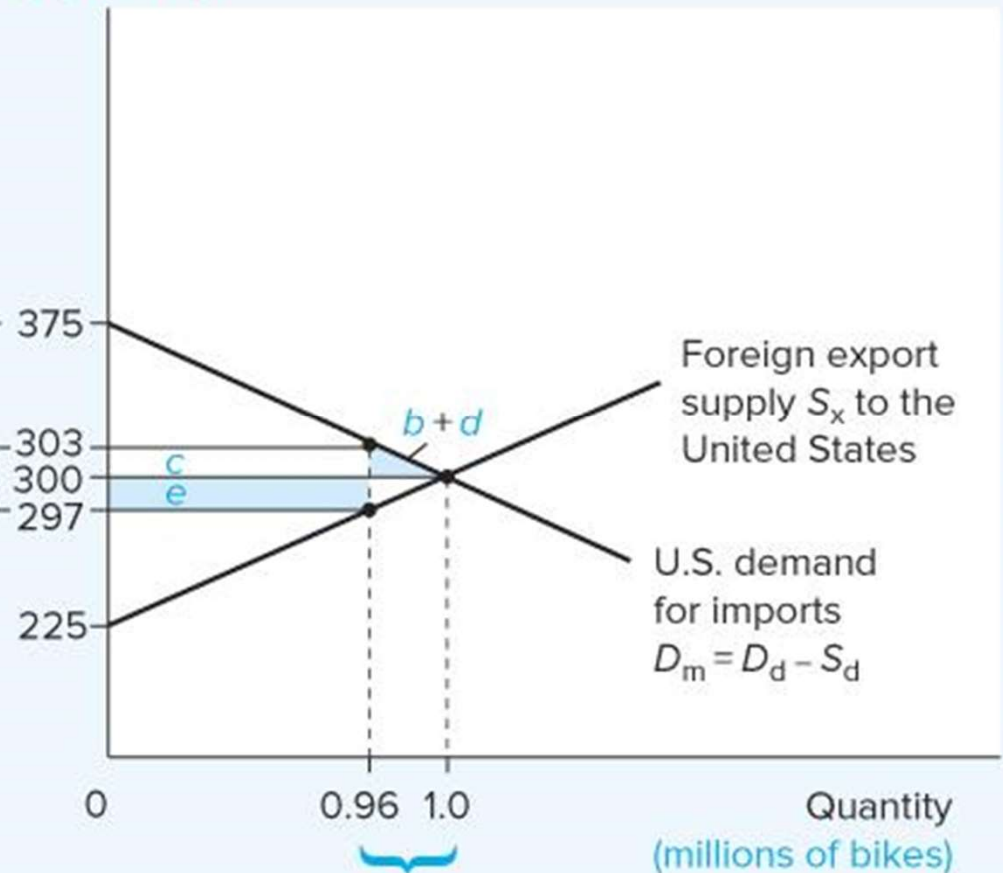


$$M_1 = 0.96$$

$$M_0 = 1.0$$

B. The Market for Bicycle Imports

Price
(\$ per bike)

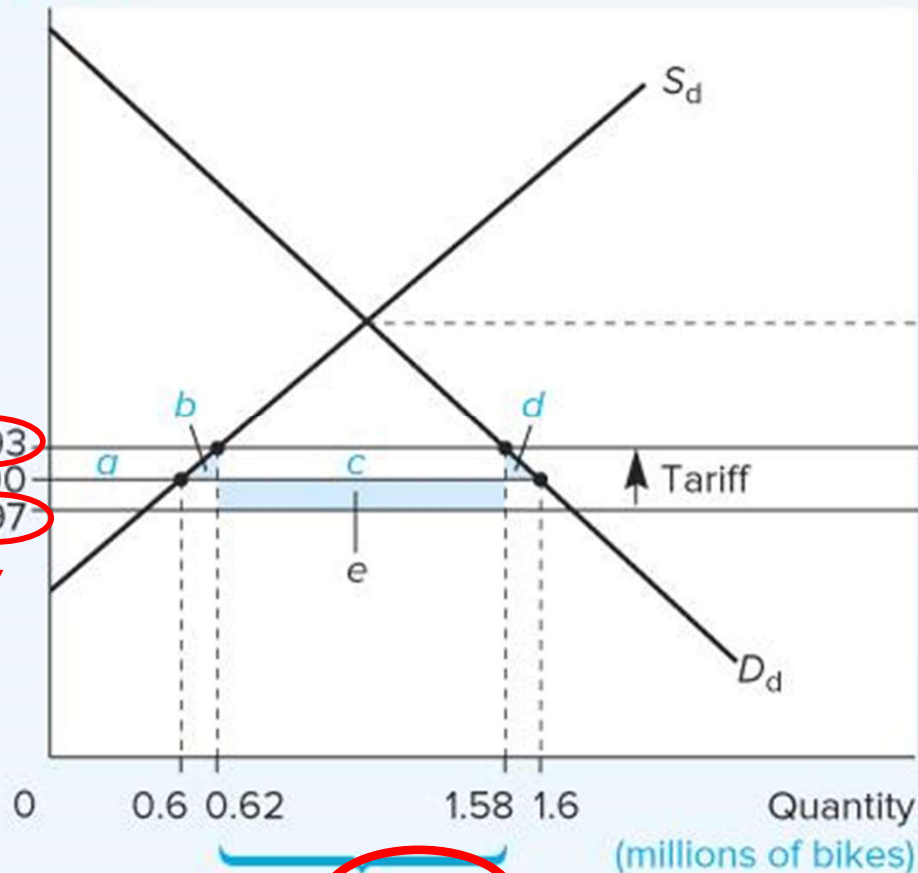


A Large Country Imposes a Small Tariff

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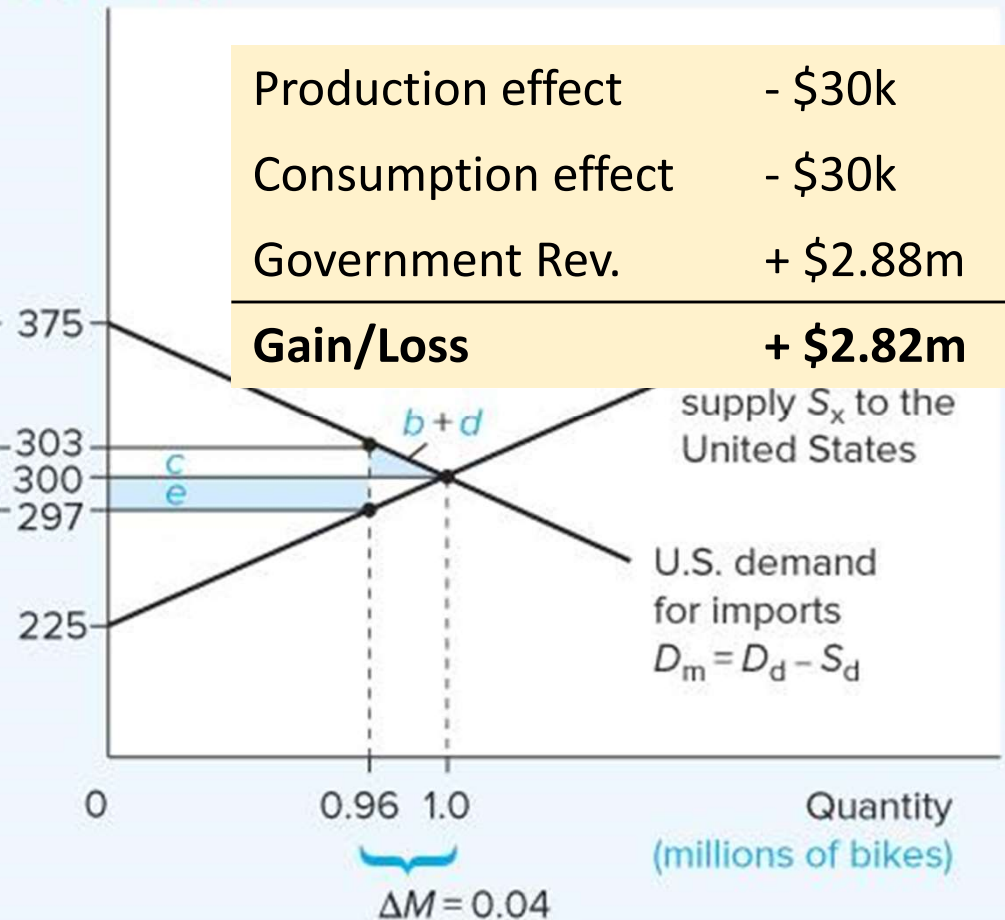
A. The National Market for Bicycles

Price
(\$ per bike)



B. The Market for Bicycle Imports

Price
(\$ per bike)



Production effect	- \$30k
Consumption effect	- \$30k
Government Rev.	+ \$2.88m
Gain/Loss	+ \$2.82m

The Nationally Optimal Tariff

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Optimal
tariff =
\$50

